

stocks are back in favour with value investors,” says Gopal Kavalireddi, Vice President-Research at discount broking firm FYERS. There are so many listed firms to choose from in the technology sector right now, he adds. So, “opportunities for high returns over the next three to five years are fantastic”.

“Sensing the investor interest, asset management companies (AMCs) are launching technology-related exchange-traded funds (ETFs) and mutual fund schemes,” says Kavalireddi. For instance, DSP Mutual Fund in June launched the DSP Nifty IT ETF, an open-ended exchange traded fund (ETF) replicating the Nifty IT index. Kavalireddi adds that the Indian government has set a goal of making technology and digital economy’s contribution to the economy rise to 20-25 per cent by 2025-26, from an estimated 10 per cent now. “With an expanded and diversified presence across sectors and a GDP target of \$5 trillion by FY26, the contribution from the tech sector could reach \$1 trillion. This bodes well for investors looking to deploy capital in fresh investment opportunities in the IT and related sectors, from a three- to five-year perspective,” he says.

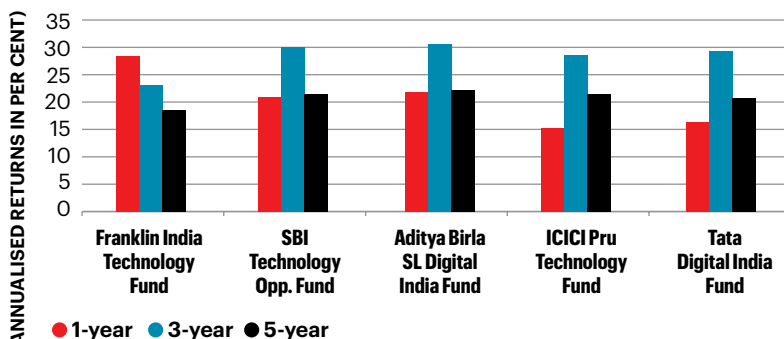
With total assets under management of over ₹27,400 crore as of September 13 this year, technology-focussed mutual funds have already consistently delivered robust returns to investors over various periods (See chart *Good Showing*).

Sirshendu Basu, Head of Products at Bandhan AMC, is also bullish on these funds. “The IT Index’s current valuation is near its long-term average and far below its early 2022 highs. Thus, IT has a good chance of catching up and outperforming over the next three to five

GOOD SHOWING

► **TECHNOLOGY-FOCUSSED FUNDS HAVE CONSISTENTLY GIVEN STRONG RETURNS TO INVESTORS**

► **EXPERTS BELIEVE IT INDEX FUNDS CAN BUILD WEALTH AND HEDGE AGAINST MARKET DOWNTURNS**



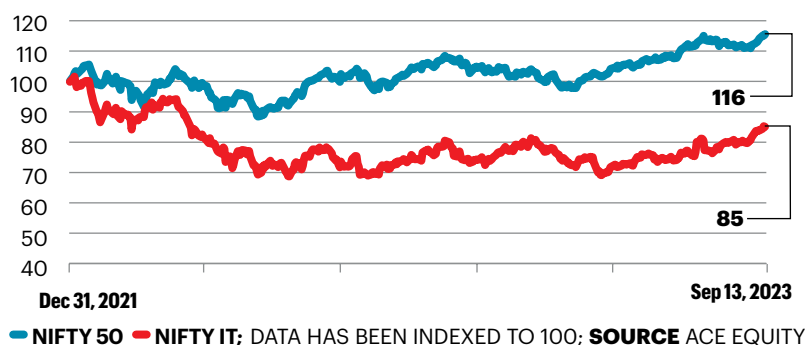
SOURCE BT RESEARCH; DATA AS OF SEPTEMBER 13, 2023

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SCOPE FOR GROWTH

► **THE NIFTY IT INDEX HAS BEEN UNDERPERFORMING THE NIFTY 50 SINCE JANUARY LAST YEAR**

► **DESPITE THE RECOVERY IN 2023, THE IT INDEX IS STILL DOWN 15 PER CENT FROM ITS ALL-TIME HIGH IN JANUARY 2022**



— NIFTY 50 — NIFTY IT; DATA HAS BEEN INDEXED TO 100; SOURCE ACE EQUITY

₹27,400

crore

TOTAL AUM OF TECH-FOCUSSED MFs AS OF SEPTEMBER 13, 2023

16

per cent

RALLY IN NIFTY 50 BETWEEN DECEMBER 31, 2021, AND SEPTEMBER 13, 2023